

BE451 - Degree Project in Finance

Fall 2026

Course director: Riccardo Sabbatucci

Course administrator: Anneli Sandbladh

1. Introduction

The B.Sc. thesis serves as the “capstone” of the specialization in Finance. It is open to students enrolled in the Finance specialization.

The B.Sc. thesis is an independent written work of a scientific character worth 15 ECTS credits. In this work, students demonstrate that they can identify and analyze a problem, and that they can present and defend the results. The thesis should pose a theoretical, methodological and/or empirical challenge, illustrating the ability to think systematically and critically, as well as showing an ability to interpret and discuss data and literature.

The goals (“learning outcomes”) of the course are as follows: Ability to analyze research questions in finance, to summarize and to place the work vis-a-vis the existing literature, to use econometric tools in the process, and to present the results of the analysis in writing.

The course structure is as follows: (i) introductory overview of applied research issues in finance, (ii) econometrics and methodology lectures and seminars, (iii) individual (i.e., per student team) and (iv) joint (i.e., all student teams assigned to a tutor) meetings with a tutor, (v) presentation of the thesis at the end of the term.

Grading is mainly based on the quality of the submitted thesis; the presentation of the thesis and the discussion of the thesis written by another group also factor into the grade. Professor Riccardo Sabbatucci is the examiner of this course.

2. Prerequisites

The Degree Project is usually done during the autumn or spring semester in the third year of study. To qualify for the course, students must, no later than at the beginning of that autumn or spring semester, have passed at least one of the two courses within the specialization in which the project is to be written. They must also have fulfilled all course obligations (for example, assignments and project work) except for the final written exam in the second course

within that specialization.

3. Format and process

Students work in pairs. Based on the thesis proposal (synopsis, see more information below), the B.Sc. thesis course director, Riccardo Sabbatucci, will allocate a supervisor (“tutor”) for each thesis. The students should then promptly connect with the supervisor to schedule a meeting. The supervisor provides tutoring, support with methods, etc., but the ground rule is that students work independently (independence will be part of the assessment). Further feedback will be provided in the midterm group seminar, where the thesis drafts will be discussed by the supervisor and fellow students. The completed thesis will be presented at the end of the semester. Each student, paired with another student, will act as a discussant for one thesis.

General rules are as follows:

- Language: English
- Maximum length: 40 pages, plus appendix if necessary
- Should meet formal requirements in academic writing (see below)
- Students work in pairs
- Cross-department theses are not supported. That means that if you would like to have the grade for a thesis in Finance on your transcript, you must write a thesis in Finance (supervised by a tutor appointed by the Department of Finance) and team up with a student in Finance.

4. Timeline and important dates

September 2, 13:15 – 15:00: An **introductory lecture** will provide an overview of how to write a thesis in finance; this is also a great opportunity for you to ask any organizational questions about the course. It is mandatory to attend the lecture.

September 7, 13.15 – 15.00 (Torsten): Main Library workshop. Attending this workshop is voluntary but *highly recommended*. Students will be introduced to various databases and literature search strategies.

September 8, 11, and 15, 12.15pm – 13.00 (Zoom – link will be posted on Canvas): Database workshops. Attending the workshops is voluntary but *highly recommended*. Students will be introduced to various databases.

Database workshops:

- September 8, 12.15-13.00 (online): S&P Capital IQ
- September 11, 12.15-13.00 (online): Holdings - Shareholder Data Platform
- September 15, 12.15-13.00 (online): LSEG Workspace

- ShoF databases: [Youtube video](#)

September 3, 8, 15, 22: Students attend tutorials in which they will be introduced to the most common **econometric methods** in finance (cross-sectional regressions, panel data, time series regressions, and asset pricing techniques). These tutorials will be led by Morteza Aghajanzadeh, an experienced PhD student who is the teaching assistant on the course. Morteza will also provide office hours for technical issues (coding and data collection) throughout the semester. While attending these lectures is strongly recommended, it is not mandatory.

September 9, 1:00pm: deadline for the submission of a “synopsis.” Students should formulate two research questions and write a two-page synopsis on their preferred thesis topics. Synopsis should be submitted on Canvas under “Assignment” → “Synopsis submission”. Consider the document titled “Synopsis” (on Canvas) when writing this document. Based on students’ suggestions, given various constraints, the course director will allocate a tutor to each group.

Mid-term group meeting with tutor: There will be a group seminar with the tutor to assess each group's progress and discuss what remains to be done. The specific date will be decided by the tutor.

Students will discuss their thesis progress in **individual meetings with the tutor** (throughout the term). Based on feedback from these meetings, students are expected to work independently on their theses. Students have to attend the individual meetings and the midterm group meeting with their tutors. Applying the methods and tools discussed in the lectures and seminars to the problem analyzed in the thesis is a key criterion for the grading of the thesis.

December 7, 10.00am: The **deadline to submit the final thesis** online on the course website (via Canvas) as well as replication files to Anneli Sandbladh (anneli.sandbladh@hhs.se).

Final versions are presented in seminars **before December 12**. Each group must present their own thesis and discuss another group’s thesis. These presentations are in person, and the dates are set by the thesis tutors.

The **grade** is based on the quality of the version of the thesis submitted on December 7. After the seminar presentation, students have approximately one week to make final corrections before a definite version of the thesis is published on the course web by **Friday, December 18 at 18.00**. If the examiner finds that the seminar version of the thesis cannot be given a passing grade, changes may be required. In such case, a specific deadline for changes will be specified.

5. Choosing the Subject and Getting Inspiration from Prior Work

Students writing their thesis either come up with their own ideas for the thesis or start from a topic suggested by one of the tutors. This process usually requires a lot of reading of existing

papers, published and not-yet-published work (i.e., working papers). Students may find it helpful to consult for inspiration the following sources:

- Look through recent issues of the most prominent journals in economics and finance.¹ Usually, you will be able to download full-text versions of the papers as .pdf documents if you are using an IP address from SSE (i.e., if you are searching the internet from within the SSE network).
- Search for papers on <http://scholar.google.com>. There you usually find published as well as unpublished papers.
- Also look through research topics and papers available on the Department of Finance faculty web pages. This might not just provide you with ideas for the thesis, and you may contact the faculty member for some advice even if s/he is not your tutor.

In general, it is advisable to pick topics for which you find a reasonable number of academic papers, as these papers will provide some guidance on the related literature, on useful sources for data, and on appropriate techniques for the empirical analysis.

An excellent starting point of a thesis is to (partially) replicate an interesting paper and attempt to make a meaningful extension.

Important note on sources and references: In the past, there have been cases where students have gotten “inspiration” for topics, hypothesis development, formatting, coding, regression design, writing etc. from other theses, without citing them. This may constitute plagiarism that is detected by our software. This is very unpleasant for all parties involved and must be avoided **at all costs**.

To be clear: cite ALL sources and do not copy without clear attribution. Even if you do not directly build on another thesis (you are, in fact, advised not to do so but to build on research papers), this means that you also need to cite related theses (from SSE and elsewhere). Plagiarism (such as copying from another thesis without attribution) will result in serious consequences, including but not limited to the receipt of a “Fail” grade for the course.

6. Collecting Data

When writing the BSc thesis, students will likely work with data on firm financials. Many interesting datasets (such as Compustat and CRSP) are available via WRDS. Instructions and

¹The Journal of Finance, Journal of Financial Economics, The Review of Financial Studies, The Journal of Financial and Quantitative Analysis, The Review of Finance, The Quarterly Journal of Economics, American Economic Review, Journal of Economic Literature, Journal of Political Economy, Econometrica, Review of Economic Studies, Journal of Monetary Economics, Journal of Economic Theory, Journal of Econometrics, The Review of Economics and Statistics, Journal of Monetary Economics.

the required class code for setting up a WRDS account are available on Canvas. Additionally, students can use many of the databases from the Research Data Center of the Swedish House of Finance: <https://www.hhs.se/en/houseoffinance/data-center/>

There will be **demo sessions** for databases provided by the library team. Participation is highly recommended. See Section 4 above and Canvas for times and dates.

7. Writing the Thesis

When writing your thesis, it is mandatory to use the front-page template available in the word document on Canvas under “Resources”. Otherwise, the format should be as close as possible as the format of published papers in the Journal of Finance (that includes, for example, the absence of a table of contents).

The thesis should be maximum 40 pages single-spaced 12pt, not including the appendix. One good reference for writing academic papers is John Cochrane’s “Writing Tips for PhD Students” which is available here:

https://www.johnhcochrane.com/s/phd_paper_writing.pdf.

Finally, pay attention to writing styles and paper structures when reading research papers published in top Finance and Economics journals; one can learn a lot from following their example. For example, pay attention to how published papers refer to the related literature on which they build and to which they contribute. It is not a full review of the literature! It is a careful comparison of the contributions of the closest papers relevant to the topic.

Whenever you ask yourself how to write, structure your ideas, comment on tables, etc., look at recent papers published in the Journal of Finance.

8. Content and Structure

The emphasis in the thesis should be on the analysis of a well-defined topic or question in economics or financial economics. The economic issues at the center of the thesis should be outlined and motivated in the introduction, followed by a section with a focused presentation of the relevant literature and (if applicable) a brief account of the stylized facts. In case your thesis includes empirical analysis (which almost always is the case), you should provide a description of the data and a critical discussion of your data sources. The core part of the thesis usually presents your empirical analysis with a critical evaluation of your results and resulting economic insights. Compare your results with the existing literature and outline their wider implications. The conclusion should contain a short, non-repetitive summary that refers to the initial questions.

Length

The main text of the thesis should be around 25-40 pages in length, from introduction to conclusion, including a selection of the most relevant figures, graphs, and tables. Additional and

supplementary visuals should be placed in appendices after the reference list. Longer does not mean better; often the contrary is the case. The more efficient the exposition, the easier it is to read and comprehend the thesis; this is an important quality criterion for the final evaluation of the thesis.

Writing

Your thesis must be the result of independent work. Use your own language and do not simply copy from other texts. All sources and quotations used must be referenced (detailed guidelines follow below). Define key concepts the first time you use them. Before writing a paragraph or section, think carefully what you would like to say and then check if what you have written is what you intended to say. When writing, use short and direct sentences to present the text as transparently and logically as possible. Simple and transparent writing most often reflects that the authors have understood and mastered the problems, while complexity is too often the result of confusion.

By writing and re-writing, your thoughts are sorted out. Therefore, allow for enough time to re-write the text multiple times. A common mistake that students make in the thesis writing process is to start too late with the actual writing of the thesis. The final product is graded by the examiner and if the thesis is not well written the examiner has no chance of appropriately assessing all the qualities of the thesis. Readability of the thesis is an important quality criterion on its own as well.

Formatting

All visuals, tables and figures, must be numbered, have a title, and must have a self-contained caption.

The reader must be able to understand the visual (a figure or table) by reading the caption, not the preceding text; variables used should be defined in the caption as well as the type of test statistics depicted. Place important visuals in the main text and supplementary ones in appendices at the very end of the thesis (after the reference list).

All but very short mathematical expressions should be displayed on a separate line and be centered. Numbering important equations facilitates referring to them in the text. Only number equations that are referred to later in the text. Technical and extended formal mathematical derivations of models or presentations of quantitative methods, if they are not the key contribution of the thesis, are best pooled in self-contained appendices.

Citing Sources in Text

We suggest you use the author/date system for in-text references as follows: "Smith and Easton (2005) show that..." or "(Larson and Hatchett, 2004)." The page numbers for all sources are not included in-text (unless there is a direct quote from the article), they follow the appropriate reference in the list of references as explained above. When there are many authors (three plus), you may use the following simplification: La Porta et al. (1997). This format is standard in the

finance literature. However, always cite all authors the first time you refer to a paper (use “et al.” only after the first citation). Most if not all the references that you read for your thesis will use this format as well; just follow their example. Note that it is of utmost importance for the integrity of any academic work, including a thesis, that you correctly and comprehensively cite all the sources that influence your work.

Bibliography

The list of references at the end of the thesis must start on a new page, with the title, “References”. All references mentioned in the text must be included in the list of references and vice versa. References are listed in alphabetical order and follow the same format: author, date of publication, title of chapter/article, title of book/publication, publication information, and pages used. If you take information directly from webpages or other electronic sources also include the appropriate URL in the list of references. If the author is not specified, e.g., if you are using information from a corporate author or a governmental institution, this authority should be listed as author. Below are some explicit examples:

- Papers published in periodicals:

Scholes, Myron, 1991, Stock and compensation, *Journal of Finance* 46, 803–823.

Wright, Brian D., and Jeffrey C. Williams, 1989, A theory of negative prices for storage, *Journal of Futures Markets* 9, 1–13.

Schwert, G. William, 1993, The *Journal of Financial Economics*: A retrospective evaluation (1974–91), *Journal of Financial Economics* 33, 369–424.

- Unpublished Working Papers:

Buchinsky, Moshe, and Oved Yosha, 1995, Evaluating the probability of failure of a banking firm, Cowles Foundation Discussion paper no. 1108, Yale University.

Ongena, Steven, and David C. Smith, 1998, What determines the number of bank relationships? Cross-country evidence, working paper, Norwegian School of Management.

Ang, Andrew, and Geert Bekaert, 1998, Regime switches in interest rates, NBER Working paper 6508.

- Monographs (Books) as sources:

Fama, Eugene F., and Merton H. Miller, 1972, *The Theory of Finance* (The Dryden Press, Hinsdale, IL).

Keynes, John Maynard, 1930, *A Treatise on Money*, Vol. II (Macmillan, London).

- Papers that represent contributions to collective work:

Grossman, Sanford J., and Oliver D. Hart, 1982, Corporate financial structure and managerial incentives, in John J. McCall, ed.: *The Economics of Information and Uncertainty* (University of Chicago Press).

- Government documents:

Securities and Exchange Commission Release No. 24-2446, 1940.

National Association of Securities Dealers, 1998, Notice to Members 98-88.

Kennickell, Arthur, 1992, Imputation of the 1989 survey of consumer finances: Multiple imputation and stochastic relaxation, manuscript, Federal Reserve Board.

- Articles in the popular press (weekly Magazines and daily Newspapers):

The Economist, 1998, Overcharging underwriters, June 27.

Morgenson, Gretchen, 1998, Stock options are not a free lunch, Forbes, May 18.

Lowenstein, Roger, 1997, Street's incredible unshrinking spread, Wall Street Journal, April 10, C1.

9. Submitting the Thesis

The submission of the final thesis is done in two steps (consider the deadline specified above in the timeline):

1. Upload your final thesis through "Assignments" on Canvas. In addition to the thesis submission, each group is required to submit a zip file (i.e., ONE file) containing data / code replication files to the thesis to the course administrator, Anneli Sandbladh (anneli.sandbladh@hhs.se). **Non-compliance is liable to grade retention and in extreme cases not passing the course.** Read below the instructions for the replication files.

2. After your defense, upload your thesis on the Publish Thesis application through the following link: <https://cwpt2019.hhs.se/studentinfo.aspx>. For that submission you can correct some typos or small mistakes that are mentioned during the opposition, but nothing substantial. Follow instructions from this page: <https://portal.hhs.se/studentsupport/usefulinfo/pages/uploading-thesis.aspx>.

The structure of the zip file with replication files should be as follows:

- One or more data files;
- One or more code files (e.g.: do-files if you use Stata, py-files if you use Python, R-files if you use R);
- One README file.

While variable names can be in either Swedish or English, the *do* and *README* files should be in English.

The data should be as close as possible to the original (raw or primary) data. Example: If the thesis uses real prices, the data file should contain both nominal prices and the price deflator required to construct real prices.

There is no restriction on the programming software and format of the files.

Files should have generous comments (in English). It is useful to organize the file(s) in sections such as data construction, descriptive statistics, econometric results etc. Each output in the thesis (tables, figures etc.) should be clearly displayed in the programme file.

The files should contain the thesis title, the authors, and their contact details; Each variable of the data file should be included and described. Example: RPRICE is defined as real prices deflated by the consumer price index and is expressed in thousand SEK.

The data sources should be clearly defined to ensure replicability. Example: PRICE is obtained from Statistics Sweden at www.scb.se, accessed on August 2, 2026.

Refer to the following Wikipedia article for a complete description of what a README file is: <https://en.wikipedia.org/wiki/README>. In short, the README file needs to describe how to run your files and in which order to get each table, figure, etc., of your thesis. For example, the README would describe lines of code that need to be changed such that the code can run on any computer. The README should specify the lines of the programme file where each table, figure, etc., can be found. If there are several programme files, the README should clearly specify the order in which they have to be run to replicate the thesis.

Finally, the use of confidential data does not exempt one from submitting the above. If this is your case, (1) rest assured that the data will be securely stored and held offline, with a note clearly stating the confidentiality of the data; and (2) please provide a copy of the NDA together with your files. If you have doubts about the process please contact the course director.

10. Code of Conduct

Individual work should be done independently. Group work should have only contributions from group members. Work with traces of other persons' (group's) work will be deemed as equally unacceptable and discarded. Rectitude and professional behaviour during the attendance of the lectures, meetings with the tutors, and group seminars is an integral part of the final grade.

11. Writing with Artificial Intelligence

You can make use of AI but you must submit an AI-appendix/AI-disclosure detailing what AI tools you have used and how (it can be very short). You can use AI to improve the quality of your writing (think of an advanced grammar checker) but do not use AI to directly write part of your thesis, which would be against fair usage of these instruments. Also note that AI has a very distinctive and often very convoluted writing style. You should be very careful when using these tools that it does not decrease the quality of your essay, which is often the case.

This version: August 14, 2026